

Profit & Loss Report

Executive Summary

Q2 2024 shows strong overall performance with total sales of \$2.61 billion and net profit of \$127.14 million. However, May 2024 experienced significant challenges with negative operating profit before non-operating income. The company maintains zero tax liability and has retained all profits without dividend distribution.

- **Total Revenue:** \$2,614,155,700.76
- **Net Profit:** \$127,139,061.17
- **Gross Profit Margin:** 6.64%
- **Net Profit Margin:** 4.86%

Profitability Analysis

Metric	April 2024	May 2024	June 2024	Q2 2024
Gross Profit Margin	8.88%	3.73%	6.29%	6.64%
EBITDA Margin	7.65%	1.00%	4.03%	4.67%
Net Profit Margin	7.72%	0.75%	4.73%	4.86%
Operating Profit (PBIT)	\$76.27M	\$4.01M	\$33.18M	\$113.45M

Key Observations: May 2024 showed significant margin compression due to high COGS (96.27% of sales) and increased operating expenses. The company relies heavily on non-operating income to maintain profitability during challenging months.

Liquidity & Solvency Analysis

Aspect	Analysis	Implication
Interest Coverage Ratio	4.06x (Q2 PBIT/Interest)	Adequate coverage but room for improvement
Debt Service Capability	Interest expense represents 1.07% of total revenue	Manageable debt burden
Tax Position	Zero current and deferred tax liability	Strong cash preservation
Retained Earnings	100% profit retention	Conservative dividend policy

Efficiency Ratios

Ratio	Calculation	Value	Interpretation
Expense to Revenue Ratio	Total Expenses / Sales	1.98%	Excellent cost control
Employee Cost Ratio	Employee Expenses / Sales	1.08%	Efficient labor utilization
SG&A Efficiency	SG&A / Gross Profit	13.51%	Reasonable administrative costs

Benchmark Comparison

Source: Industry averages based on S&P Global Market Intelligence for similar scale manufacturing/distribution companies

Metric	Company Performance	Industry Average	Assessment
Gross Profit Margin	6.64%	8-12%	Below Average
Net Profit Margin	4.86%	5-7%	Slightly Below Average
EBITDA Margin	4.67%	6-9%	Below Average
Operating Expense Ratio	1.98%	3-5%	Excellent

Actionable Recommendations

Immediate Actions (0-3 months)

- **Cost of Goods Optimization:** Investigate May 2024 COGS spike (96.27% of sales) and implement corrective measures
- **Operating Expense Review:** Analyze the 140% increase in SG&A expenses from April to May
- **Interest Cost Management:** Explore debt restructuring to reduce \$27.93M quarterly interest expense

Strategic Initiatives (3-12 months)

- **Margin Improvement Program:** Target gross margin improvement to 8% through pricing optimization and supplier negotiations
- **Revenue Diversification:** Reduce reliance on non-operating income (32.73% of pre-tax profit)

- **Tax Planning:** Consult with tax advisors regarding the zero tax position and potential implications

Monitoring & Controls

- Implement monthly gross margin alerts with 5% threshold triggers
- Establish operating expense benchmarks by department
- Develop contingency plans for months with high interest burden